

PPT-EZ-CA-0001

312 Spring Commons

PHILANTHROPIC GRANT / PRI AGREEMENT

Draft foundation/funder framework for restricted grants and program-related investments supporting 312 Spring Commons

v0.2 • September 17, 2026

WORKING DRAFT / COUNSEL REVIEW / PROGRAMMED ASSUMPTIONS

This document is a working draft for discussion, diligence and counsel review. It does not constitute a final offering, binding subscription, legal opinion, tax opinion, governmental approval, guarantee of financing, guarantee of tax benefits, guarantee of title transfer, or guarantee of project performance. Programmed benchmarks are design objectives to be measured project by project, not achieved results or forecasts.

Document code: DOC-13

1. Parties and Funding Type

Field	Working entry
Funder / Grantor / PRI Provider	TBD: _____
Recipient	TBD project entity: _____
Public Grantee / Owner	TBD qualifying public entity; not necessarily the funding recipient.
Project	PPT-EZ-CA-0001 / 312 Spring Commons.
Funding type	☐ Restricted Grant ☐ Program-Related Investment (PRI) ☐ Recoverable Grant ☐ Other
Amount	\$ _____
Term	_____
Effective date	_____

2. Project Status and Purpose

The parties acknowledge that the project is in diligence and structuring. The contemplated Historic Surplus pathway, public grantee, rehabilitation budget, operating structure and capital stack remain subject to confirmation and approval. Funding may therefore be staged for predevelopment, closing, construction or operations depending on the applicable schedule.

PUBLIC ASSET PRINCIPLE

Grant/PRI capital supports preservation, rehabilitation, activation and public-benefit uses. It does not purchase fractional ownership of the public land or create a right to privatize, sell or collateralize the public fee title unless expressly permitted by governing law and final public documents.

3. Charitable / Programmatic Objectives

- historic preservation and adaptive reuse;
- workforce, technical and skilled-trades training;
- food access, resilience and community-serving uses;
- small-business/cooperative incubation;
- public legal/title/records/civic-navigation services;
- arts, culture, maker, educational and convening space;
- transparent public-asset stewardship and measurable community outcomes;
- transaction-infrastructure research and benchmarking that reduces duplicated administrative friction while preserving lawful authority.

4. Restricted Uses of Funds

Eligible category	Examples / controls
Predevelopment	Title/survey, environmental, design, engineering, preservation, legal/tax structuring, public process.
Capital rehabilitation	Approved construction, remediation, systems, accessibility, life-safety and preservation work.
Program activation	Eligible equipment, training, public programs, staffing/start-up and community uses.

Eligible category	Examples / controls
Reserves	Only specifically approved reserves and contingency.
Technology / audit	TitleChain/M5 evidence infrastructure, data controls and benchmark measurement as approved.

5. Prohibited Uses

- political campaign activity or lobbying beyond what the funder and law expressly permit;
- private distributions inconsistent with charitable restrictions;
- purchase of fractional interests in the public fee title;
- undisclosed related-party payments;
- uses inconsistent with federal deed/NPS/public-owner restrictions;
- unapproved speculative token issuance;
- automatic fund releases lacking required human/fiduciary approvals.

6. Conditions Precedent and Milestone Funding

Funding may be divided into tranches. Each tranche may be conditioned on evidence such as:

- GSA/NPS pathway confirmation;
- identification/authorization of a public grantee;
- approved preservation/use plan;
- diligence and construction budget;
- master lease/operating agreement;
- insurance/bonding;
- other committed capital;
- independent professional certifications;
- approved draw package under DOC-06.

7. PRI Economics — Complete Only if Applicable

Term	PRI placeholder
Principal	\$ _____
Interest / return	_____ / may be below-market subject to funder/counsel requirements
Maturity	_____
Payment schedule	_____
Security / collateral	_____ ; no assumption of lien on public fee title
Subordination	_____
Forgiveness / conversion	Only if expressly permitted and documented
Default / remedies	TBD; subject to public-asset restrictions and definitive documents

8. Reporting and Impact Measurement

- quarterly/annual financial reporting as negotiated;
- project schedule, budget and draw reporting;
- historic-preservation and public-use compliance;
- workforce/local procurement/program participation metrics;

- programmed transaction-efficiency benchmark results and variance;
- material adverse events, budget changes and public-conveyance status;
- TitleChain evidence receipts or other audit records, subject to privacy/privilege restrictions.

9. Intellectual Property / Open Commons Work

If grant funds support open standards, software, research or public-commons documentation, the applicable statement of work should specify what is open, what remains proprietary/private, applicable licenses, attribution, security restrictions and the treatment of TitleChain/M5 proprietary or patented methods. No license should be implied beyond the executed grant/PRI documents.

10. Publicity and Attribution

Neither party may imply government endorsement, funder endorsement of investment returns, or approval of a final conveyance. Public announcements, naming rights and logo use require the approvals stated in the final agreement.

11. Unused / Misapplied Funds

- Unused restricted grant funds are returned or reprogrammed only with funder approval.
- Misapplied funds may be subject to repayment, suspension or other negotiated remedies.
- PRI repayment follows the definitive investment terms.

12. TitleChain / M5 Evidence Controls

The project may record funder commitments, conditions, approvals, disbursement evidence and milestone state in the TitleChain/M5 evidence layer. The funder's books, recipient accounting records, escrow/depository records and executed agreements remain authoritative. No model or smart contract may unilaterally approve a legally/fiduciarily required decision.

Programmed Benchmark Objectives

These are baseline assumptions deliberately programmed as project performance goals. They are intended to be measured transaction by transaction, compared against actual outcomes and updated as the PPT portfolio grows. They are not historical results, guaranteed savings or investor-return projections.

Metric	Working baseline	Programmed target	Measurement
End-to-end transaction timeline	12-month legacy comparison	2-month target where legally/process-feasible	Days from defined start gate to defined closing/activation gate
Human coordination labor	14,000-hour working baseline	3,000-hour target	Time logs by role and workstream
Administrative labor cost	\$2.10M baseline	\$0.45M target	Actual invoices/payroll attributable to transaction coordination
Escrow & title friction	\$1.1475M baseline	\$0.459M target	Actual third-party fees; legally required services remain
Compliance/audit friction	\$0.45M baseline	\$0.15M target	Actual audit/compliance coordination cost
Holding/time-drag cost	\$8.25M baseline	\$1.375M target	Measured carrying cost over actual elapsed period
Total modeled friction	\$11.9475M baseline	\$2.434M target	Actual verified transaction overhead
Potential modeled reduction	\$9.5135M target delta	Target only	Difference only after comparable categories are verified
Cost of money	TBD comparable project rate	Lower all-in effective cost where risk/structure allow	Spread, fees, reserves, effective annualized cost

Metric	Working baseline	Programmed target	Measurement
Third-party duplication	TBD baseline mapping	Minimize duplicated systems/context transfer	Vendor count, connectors, model calls, reconciliations

14. Termination / Suspension

- material breach;
- failure of a critical project condition;
- loss of required governmental/public approvals;
- material misuse of funds;
- legal/regulatory prohibition;
- material misrepresentation;
- mutual written agreement.

15. Signature Blocks

Funder / provider	Recipient
Name: _____	Name: _____
Title: _____	Title: _____
Signature: _____	Signature: _____
Date: _____	Date: _____

Selected Source Basis and Diligence Notes

- 312 N. Spring Street Acquisition Feasibility Brief, September 16, 2026: project status, accelerated-disposition context, public-grantee structure, diligence list, occupancy and ~\$153M capital-maintenance reference.
- National Park Service Historic Surplus Property Program materials: qualifying governmental recipients, preservation/use obligations and potential long-term private/nonprofit operating leases subject to approval.
- IRS rehabilitation-credit guidance: federal rehabilitation credit based on qualified rehabilitation expenditures; investor/lease/partnership economics require tax counsel and final facts.
- CDFI Fund New Markets Tax Credit Program materials: CDE/QEI/QALICB structure and 39% investor credit over seven years; tract/project/CDE allocation eligibility remains TBD.
- U.S. Patent Nos. 11,720,888 and 12,518,273, “Decentralized title transfer and validation of assets”: source basis for the project's proposed TitleChain/M5 title-state methods; claim applicability and implementation remain subject to patent/transaction counsel.
- PPT-EZ-CA-0001 draft documents 01-10, September 17, 2026: master term sheet, conditional commitment, public-grantee MOU, lease term sheet, investor brief, escrow/draw, development, HTC, NMTC and TitleChain evidence schedule.
- Final charitable-purpose, PRI, private-benefit, tax-exempt-organization and expenditure-responsibility requirements must be established by the funder's and recipient's tax counsel.

M5Canon v0.2 Updates

Grant/PRI Control and Digital Evidence

- A digital milestone may support a grant/PRI disbursement package but does not authorize payment by itself. Required grantor, fiduciary, professional and banking approvals remain controlling.
- M5-DPC may be used for signed compliance notices, reporting reminders, deficiency/cure communications and final acceptance events where the parties and applicable law permit.

M5Canon v0.2 Conformance and Authority Hierarchy

This document is governed by the M5Canon authority hierarchy for PPT-EZ-CA-0001. An authoritative legal act, executed instrument, government record or legally authorized person or institution establishes the legal right or status. A Ricardian contract expresses the authorized right in human-readable and machine-readable form. Deterministic code may validate, constrain, route and enforce only authority already granted. Jev, language models and other probabilistic systems may classify, score, explain and route, but they do not create legal authority. TitleChain records provenance, state, restrictions, authority and receipts. If digital state conflicts with authoritative legal evidence, execution must halt and route to reconciliation and authorized human review.

Clean Document-Control Status

Document control: human-controlled project draft assembled from project source material and reviewed under M5Canon document-control rules. No embedded generative media, comments, tracked changes, hidden prompts, content-control tags or authoring metadata are intended to be present.